

Towards this end, the Interim Budget took up the theme of social justice and empowerment—be it through its focus on the four “caste” groups of women, youth, the poor, and farmers; or proposals such as a new scheme that would help the middle class buy or build their own houses; rooftop solar panel installation to not only encourage sustainable development but also provide up to 300 units of free electricity per month to 10 million households; and a ₹1 lakh crore corpus to encourage the private sector to scale up research and innovation significantly in sunrise domains.

Similarly, plans were laid out to set up a high-powered committee to review challenges arising from fast population growth and demographic changes. Then there was the decision to encourage states to take up reforms with an outlay of ₹75,000 crore as a 50-year interest-free loan this year to support milestone-linked reforms in sectors like health, education, land, and labour. What was also pretty clear was the intention to push themes such as deep tech and measures for promoting a blue economy.

“The Interim Budget for FY25 signals policy continuity by sticking to fiscal rectitude, thrust on maximising bang for the buck via prioritisation of hard capex, housing, and digital penetration. Lowering the fiscal deficit target strengthens the government’s commitment to preserving macro-financial stability while being prudent enough to ensure that the gradual tapering of fiscal accommodation in the post-pandemic phase does not result in any economic withdrawal symptoms,” said a report by QuantEco Research. The fiscal deficit is the gap between the government’s

earnings and expenditure.

Others believe the decision to steer clear of spectacular announcements stems from the government’s confidence that it enjoys public support. “The government had the option of announcing some measures in the Budget aimed at its target constituents—the poor, youth, farmers, and women. However,

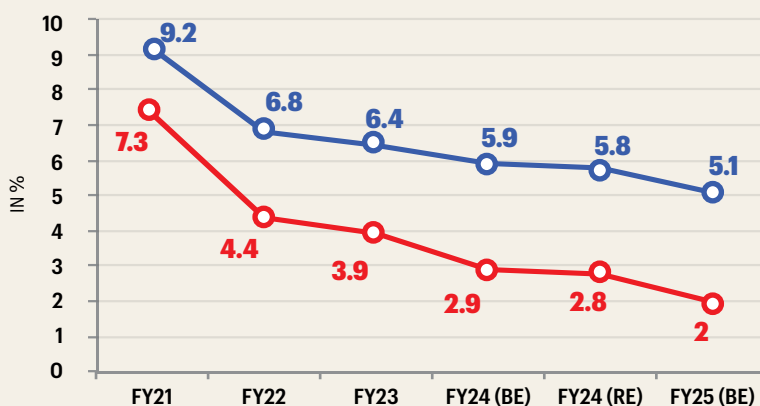
by sticking firmly to macro prudence, we think the government is signalling that it is fairly confident of adequate public support, obviating the need to rely on any last-minute populism,” said a report by Nomura.

PROJECTIONS

What was striking for analysts were the credible projections in

FOCUS ON FISCAL DISCIPLINE

► Budget pegs fiscal deficit at 5.1% for FY25 ► Commits to lowering fiscal deficit to 4.5% of GDP by FY26

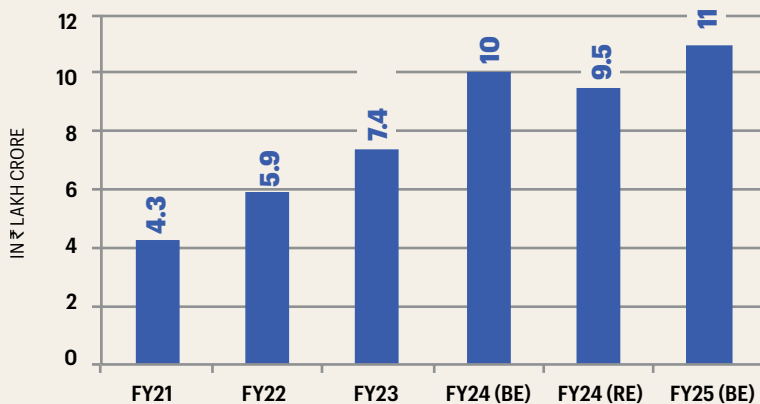


BE IS BUDGET ESTIMATE AND RE IS REVISED ESTIMATE
SOURCE UNION BUDGET, BANK OF BARODA RESEARCH

● FISCAL DEFICIT AS % OF GDP ● REVENUE DEFICIT AS % OF GDP

FOOT ON THE CAPEX PEDAL

► Capital expenditure outlay has increased by 11.1% over the Budget Estimate ► Quality of expenditure is seen to be better



SOURCE UNION BUDGET, BANK OF BARODA RESEARCH